5-5b Net Method

Under the **net method of recording sales discounts** (A method of recording a sales invoice at the amount net of any discounts for early payment.), a sales invoice with credit terms that include a discount for early payment is recorded at the *net amount* of the invoice. If the customer pays within the discount period, Cash is debited for the amount received and Accounts Receivable is credited.

To illustrate, assume that **NetSolutions** sold $18,000 of merchandise to Digital Technologies on March 10, 20Y8, with credit terms of 2/10, n/30. The cost of the merchandise sold was $10,800. The sale would be recorded under the net method as follows:

Mar.	10	Accounts Receivable—Digital Technologies	17,640	
		Sales [$18,000−($18,000 × 2%)]		17,640

Assets	=	Liabilities	+	Stockholders' Equity
Accounts Receivable				Sales
17,640 (Dr.)				17,640 (Cr.)

Mar.	10	Cost of Goods Sold	10,800	
		Inventory		10,800

Assets	=	Liabilities	+	Stockholders' Equity
Inventory				Cost of Goods Sold
10,800 (Cr.)				10,800 (Dr.)

The sale to Digital Technologies is recorded by NetSolutions at $17,640, which is the invoice amount of $18,000 less the sales discount of $360 ($18,000 × 2%).

The payment by Digital Technologies on March 19 is recorded as follows:

Mar.	19	Cash	17,640	
		Accounts Receivable—Digital Technologies		17,640

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Accounts Receivable				
17,640 (Dr.)	17,640 (Cr.)				

If Digital Technologies did not pay within the discount period, NetSolutions would receive $18,000 and Sales would be credited for the amount of the discount. For example, assuming that Digital Technologies paid NetSolutions on April 9, the payment would be recorded by NetSolutions as follows:

Apr.	9	Cash	18,000	
		Accounts Receivable—Digital Technologies		17,640
		Sales		360

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Accounts Receivable				Sales
18,000 (Dr.)	17,640 (Cr.)				360 (Cr.)

The net method records Sales at the amount received from customers, which is net of any sales discounts. As a result, the net method is consistent with the GAAP requirement that revenue (sales) be recorded at the amount mostly likely to be received (entitled). Thus, Sales is reported on the income statement at the sales account balance.

The disadvantage of the net method is that the amount of sales discounts taken by customers is not readily available from the ledger since there is no sales discounts account. Most computerized accounting systems, however, have the capability to capture a variety of data, including discounts, returns, and refunds by customers.